DALLAS–FORT WORTH — SINGLE-FAMILY RENTAL · UNDERWRITING CASE STUDY

DFW Rental Underwriting Model & a Disciplined Pass

A ZIP-code screen of the DFW rental market and a full 10-year pro forma on my selected ZIP, built in Excel and Power Query from Zillow data (June 2026).

VERDICT: PASS AT 7%

ZIP 76110 AT A GLANCE

1.1%	5.0%	4.3%	0.71
Levered IRR	Unlevered IRR	Entry cap rate	DSCR, Year 1

Ajay Patil · MS Finance, UT Dallas

swipe →

Four numbers that tell the story

1.1%

Levered IRR over 10 years

Below the 5.0% all-cash return. Borrowing at 7% against a 4.3% cap rate makes the deal worse.

0.71

DSCR in Year 1

NOI never covers the mortgage; coverage reaches only 0.93 by Year 10. Many DSCR lenders look for 1.20–1.25.

–$3,718

Year-1 cash flow

Negative every year of the hold (still –$877 in Year 10). Cash-on-cash: –6.1%.

+23%

Rent increase needed to break even

About $2,144/mo versus $1,744 today, just to bring Year-1 cash flow to zero.

Bottom line. 76110 Fort Worth, my pick from 166 ranked DFW ZIPs, still doesn't clear the bar at a 7% mortgage. The disciplined call is to pass.

From 254 ZIPs to one pick

Two national Zillow files, filtered to Dallas–Fort Worth–Arlington and reshaped into tidy tables.

254 ZIPs with home values (ZHVI)

220 ZIPs with rents (ZORI)

216 ZIPs with both, screenable

166 full 3-year rent history, ranked

Source
Zillow ZHVI + ZORI
ZIP level, monthly, June 2026

ETL
Power Query (M)
Filter to DFW metro, unpivot to long tables

Score
70% yield · 30% growth
Gross yield + 3-yr rent CAGR

Rent coverage is thinner than price coverage: only **166 of 254** ZIPs have the 3-year rent history needed to rank them. ZIP codes stay as text to keep leading zeros.

76110 — SUBMARKET SCREEN

The top of the list was a yield trap

Top six of 166 ranked ZIPs (70% gross yield, 30% 3-year rent CAGR).

#	ZIP	CITY	PRICE	RENT/MO	YIELD	3-YR CAGR
1	75216	Dallas	$177,032	$1,823	12.4%	4.5%
2	75215	Dallas	$177,515	$1,621	11.0%	3.4%
3	75134	Lancaster	$262,549	$2,251	10.3%	5.2%
4	**76110** SELECTED	**Fort Worth**	**$217,756**	**$1,744**	**9.6%**	**6.2%**
5	75217	Dallas	$201,984	$1,769	10.5%	2.9%
6	75241	Dallas	$215,576	$1,710	9.5%	1.8%

Ranks #1–#3: skipped

Low-cost South Dallas and Lancaster ZIPs posting 10–12% “yields”: a pattern that can signal risks the data can’t see (condition, taxes, tenant and vacancy risk).

Rank #4: 76110 Fort Worth

A solid 9.6% gross yield with the shortlist’s strongest rent growth (6.2% a year), in a conventional, defensible submarket.

Knowing when **not** to trust the model’s top output is the analytical point.

One set of inputs, one linked pro forma

Every number on this page flows from the named inputs on the Assumptions sheet.

Rent (June 2026 ZORI)
$1,744/mo
grows 3%/yr

↓

Effective gross income
$19,882
after 5% vacancy

↓

Operating expenses
−$10,561
tax · insurance · mgmt · maint · CapEx

↓

Net operating income
$9,321
4.3% entry cap rate

Price (June 2026 ZHVI)
$217,756
25% down · 3% closing

↓

Loan at 7.0%, 30-yr
$163,317
360-month amortization

↓

Debt service
−$13,039/yr
$1,087 per month

↓

Cash flow before tax
−$3,718
Year 1; negative all 10 years

−

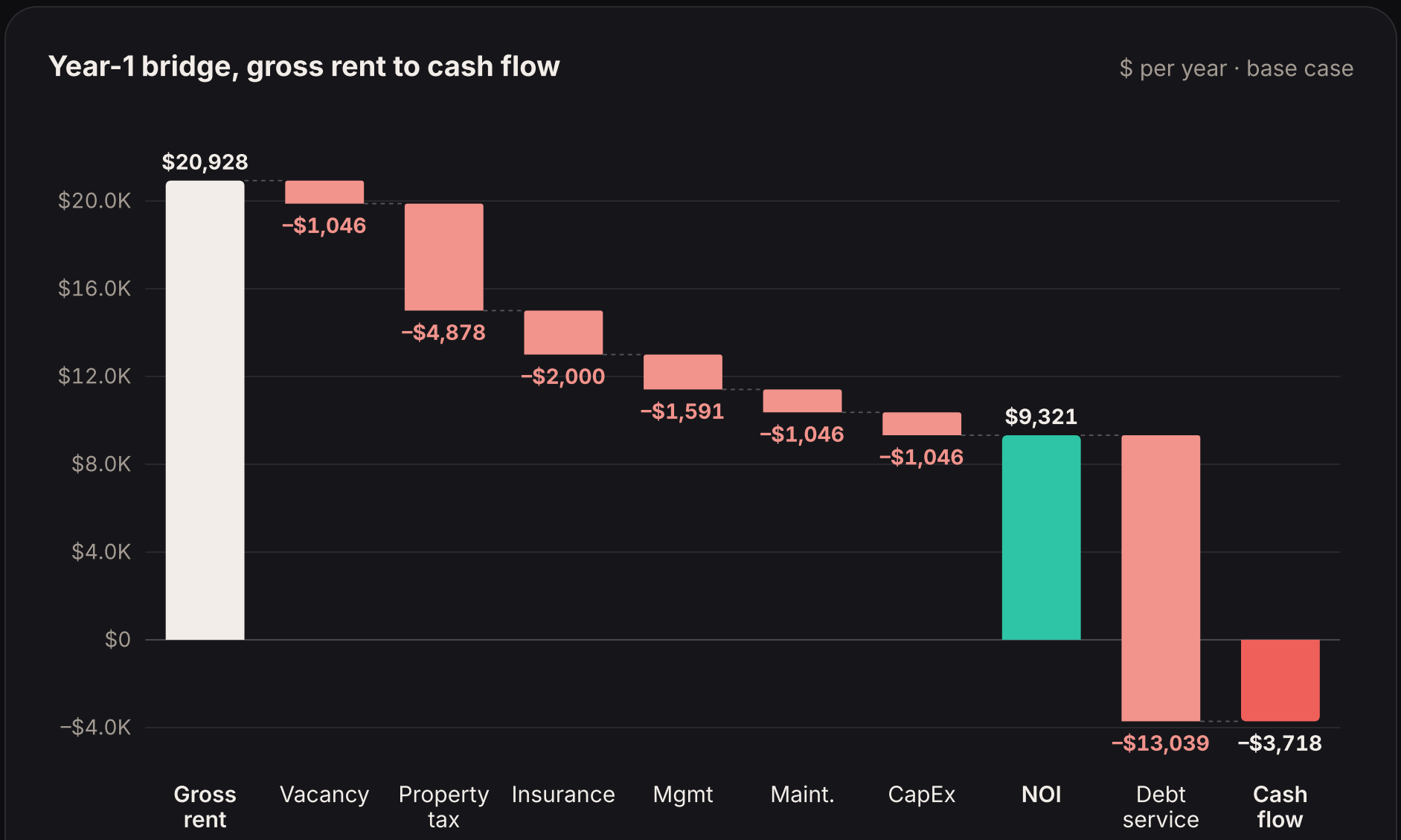
↓

Year-10 exit at a 5.0% cap → IRR
1.1% levered · 5.0% all-cash
sale $250,520 · less 7% costs and $140,146 loan payoff = $92,838

76110 — YEAR-1 INCOME BRIDGE

Rent covers expenses, not the mortgage

At the full 2.24% non-homestead rate, property tax is the biggest single cost.



Net operating income
$9,321
4.3% of the $217,756 price

Annual debt service
$13,039
$163,317 at 7.0%, 30 years

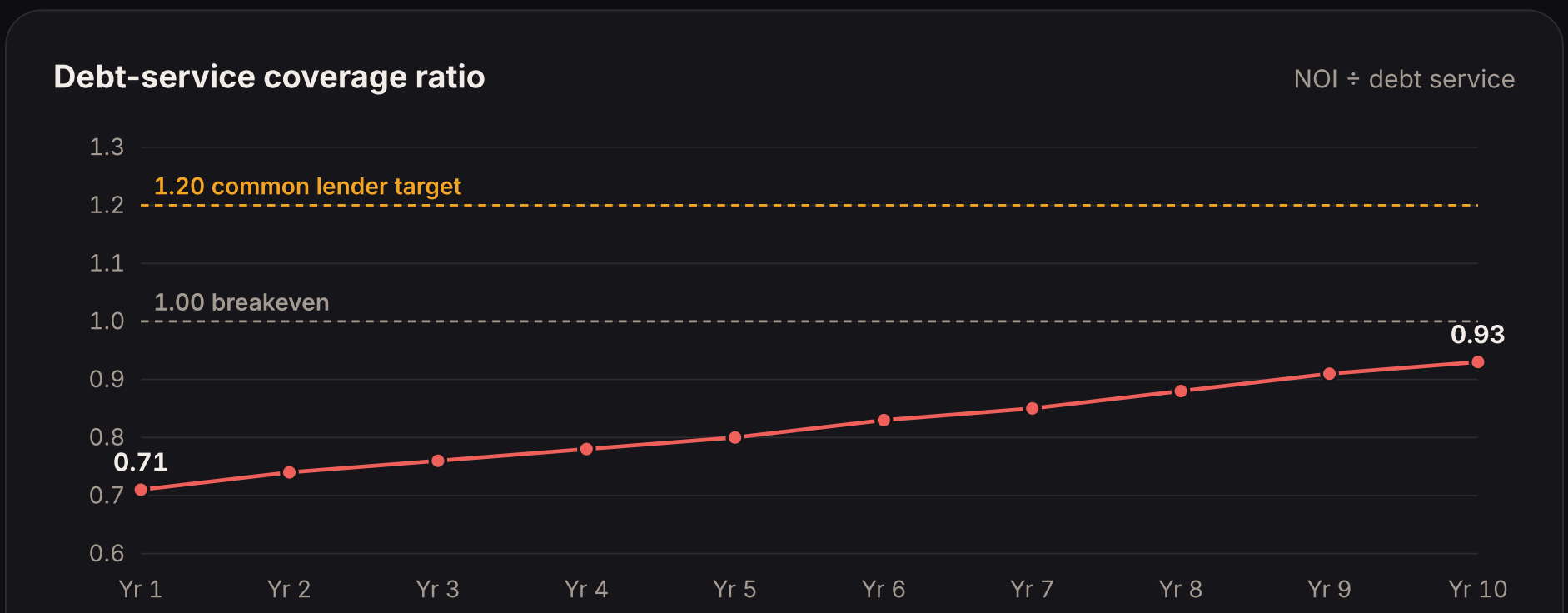
Property tax, Year 1
$4,878
~52% of NOI · 46% of OpEx

76110 — TEN-YEAR HOLD

Negative carry every single year

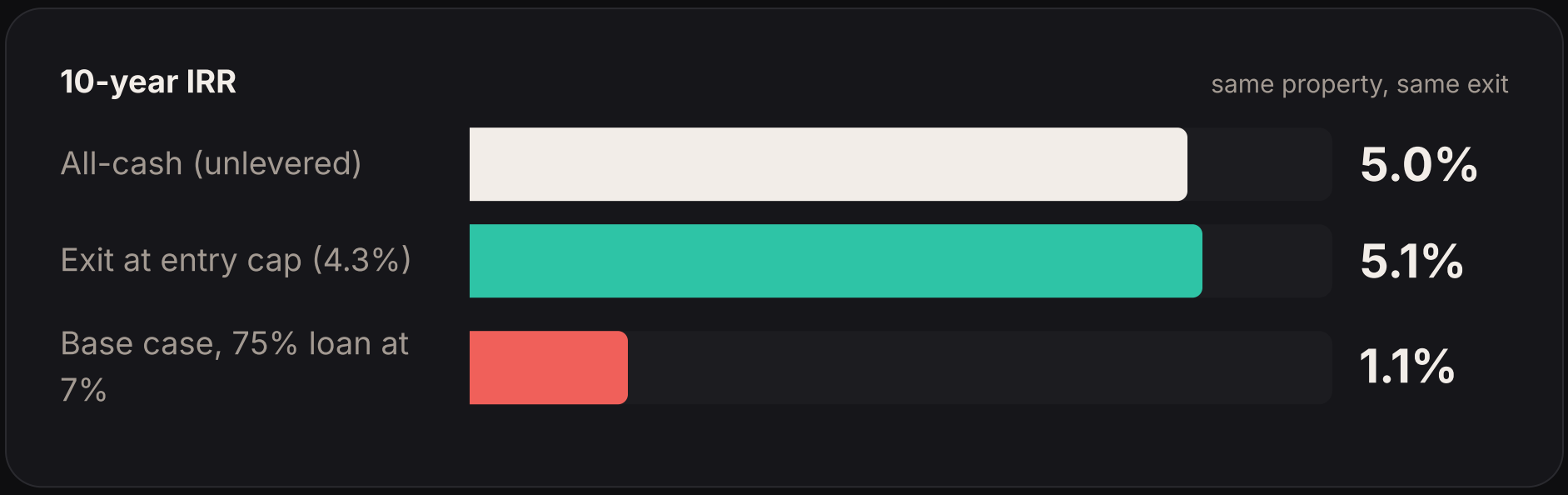
The shortfall shrinks as rent grows 3% a year, but never turns positive, and NOI never covers the mortgage.





Borrowing at 7% cuts the return

Levered IRR (1.1%) lands well below the all-cash return (5.0%).



4.3% vs 7.0%

What the asset earns vs. what debt costs

When debt costs more than the property earns, borrowing lowers the return on equity.

1.10x

Equity multiple

On $60,972 down and closing costs plus ~$23,500 of shortfalls over ten years (shortfalls counted as equity).

The 5.0% exit cap is **70bp above** the 4.3% entry cap, a conservative choice. Even exiting at the entry cap only lifts the levered IRR to ~5.1%.

76110 — SENSITIVITY

What would have to be true for it to work

The 8% levered hurdle is my target for a leveraged single-family rental.

Levered IRR: purchase price × mortgage rate — live Excel Data Table

PRICE ↓ · RATE →	5%	6%	7%	8%	9%
$185,093	**13.3%**	**11.7%**	**10.0%**	**8.4%**	6.7%
$195,980	**10.6%**	**8.9%**	7.2%	5.4%	3.6%
$206,868	7.9%	6.1%	4.2%	2.3%	0.3%
$217,756	5.1%	3.1%	**1.1%**	−1.1%	−3.3%
$228,644	2.2%	0.0%	−2.3%	−4.7%	−7.3%
$239,532	−0.9%	−3.5%	−6.1%	−9.0%	−12.0%

Base case · Clears 8% hurdle · Positive, below hurdle · Negative

At today's 7% mortgage

~$193K

price needed for an 8% IRR (−11%)

If rates ease to 6% / 5%

~$200K / ~$206K

price needed for an 8% IRR (−8% / −5%)

Every input has a source

Green tag = checked against an outside source; teal = Zillow data; amber = my assumption.

ZILLOW DATA

$217,756

Purchase price

76110 ZHVI, June 2026

ZILLOW DATA

$1,744

Monthly rent, Year 1

76110 ZORI, June 2026

CHECKED

2.24%

Property tax rate

Tarrant Appraisal District rates sum to ~2.22%; no homestead

MY ASSUMPTION

7.0%

Mortgage rate

30-yr fixed, 25% down, 3% closing

MY ASSUMPTION

3.0%

Rent growth

Below the 6.2% 3-yr CAGR spike

MY ASSUMPTION

5.0%

Exit cap rate

+70bp vs 4.3% entry; 7% selling costs

MY ASSUMPTION

$2,000

Insurance per year

Below market; see note

MY ASSUMPTION

8 / 5 / 5%

Mgmt · Maint · CapEx

Mgmt on EGI; others on gross rent

MY ASSUMPTION

5% · 3%

Vacancy · Expense growth

Expenses escalate yearly

Caveats. Insurance sits below Fort Worth homeowners-insurance averages (~$5,500/yr for $300K dwelling coverage); each +$1,000/yr lowers levered IRR by ~5 points or more, which only strengthens the pass. ZORI covers all rental types, so single-family rents may differ. Equity multiple counts annual shortfalls as equity.

76110 — VERDICT & TAKEAWAYS

Pass at 7%.
A disciplined, evidence-backed no.

At today's price and rate, 76110 earns roughly 1%, below risk-free Treasuries, for leverage, tenant risk, illiquidity and a decade of out-of-pocket carry. Revisit only at ~$193K with a 7% mortgage, ~$200K at 6%, or ~$206K at 5%.

1. An end-to-end build: raw public data → Power Query ETL → ZIP screen → underwriting model → stress tests → a written recommendation.
2. Full return math: cap rate, NOI, DSCR, cash-on-cash, levered and unlevered IRR, and equity multiple over a 10-year hold.
3. Judgment over mechanics: skipping the yield trap at the top of the screen and using 3% rent growth instead of a 6.2% spike.
4. An honest answer: a clear pass, with the exact price and rate that would change it.

SKILLS DEMONSTRATED

Real-Estate Underwriting · 10-Year Pro Forma · IRR · DSCR · Cap Rate · Sensitivity Analysis · Power Query (M) · Excel Data Tables · Goal Seek · Market Screening

Built from Zillow ZHVI & ZORI (June 2026) · Educational portfolio project, not investment advice

Ajay Patil · MS Finance, UT Dallas

github.com/ajaaypatil0108/dfw-rental-underwriting